ECO401 -------- QUIZ -------- 21st May-2021

ECO401:Quiz 1

Question # 1 of 10 (Start time: 03:15:34 PM, 21 May 2021)

The production possibility frontier (PPF) shows all combinations of goods that:

Select the correct option

- Society most desires.
- Lie outside the curve.
- [redacted]
- An economy can produce with all available resources within the given time period.

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Question # 2 of 10 (Start time: 03:17:00 PM, 21 May 2021)

Which of the following is a determinant of quantity supplied?

Select the correct option

- Cost of productions.
- Profitability of alternative goods.
- Aims of Producers.
- All of the given options.

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Question # 3 of 10 (Start time: 03:18:21 PM, 21 May 2021)

How much unit of a good you have to give up in order get an additional unit of another good, is measured as;

Select the correct option

- (O) Marginal Value
- ( ) Marginal Utility
- ( ) Marginal Rate of Substitution
- ( ) Marginal Substitution

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Question # 4 of 10 (Start time: 03:19:12 PM, 21 May 2021)

Which of the following measures the responsiveness of demand for one good to a change in the price of another good?

Select the correct option

- ( ) Price elasticity of demand
- (O) Cross price elasticity of demand
- ( ) Income elasticity of demand
- ( ) Price elasticity of supply

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Question # 5 of 10 (Start time: 03:20:01 PM, 21 May 2021)

Which of the following branch of economics that not only describes how interest rate affects inflation but it also provides guidance that what policy should be followed?

Select the correct option

- Positive economics.
- Normative economics.
- Microeconomics.
- Macroeconomics.

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Question # 6 of 10 (Start time: 03:21:09 PM, 21 May 2021)

The curve of unitary elastic demand will be:

Select the correct option

- A hyperbola
- An ellipse
- A rectangle
- A parabola

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Question # 7 of 10 (Start time: 03:22:03 PM, 21 May 2021)

Points inside the production possibility frontier (PPF) show that:

Select the correct option

- Efficient use of resources.
- Inefficient use of resources.
- Resources are not utilized.
- All of the given options.

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Question # 8 of 10 (Start time: 03:23:14 PM, 21 May 2021)

The law of diminishing marginal utility refers to the:

Select the correct option

- Units of a good.
- Idea that total utility is negative.
- Decrease in total satisfaction as more units of a good are consumed.
- Fall in additional satisfaction created by consumption of more and more units of a good.

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Question # 9 of 10 (Start time: 03:23:58 PM, 21 May 2021)

The process by which we limit the supply or amount of some economic factor which is scarcely available is called:

Select the correct option

- (O) Rationing.
- ( ) Bundling.
- ( ) Price floor.
- ( ) Price ceiling.

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Question # 10 of 10 (Start time: 03:24:40 PM, 21 May 2021)

Suppose the income elasticity of demand for cars is equal to 2.5. The given value shows that demand for cars is:

Select the correct option

- (O) Unit elastic.
- ( ) Income inelastic.
- ( ) Income elastic.
- ( ) Infinite elastic.

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